Hindustan Zinc Ltd: Concall Tracker

Zinc, lead and silver miner-smelter (Vedanta group) · Ticker HINDZINC (BSE 500188) · Quarter folder Q1-2027 · Builds on the Q4-2026 report · Latest call read: Q1 FY27 (24 Jul 2026)

This is not investment advice. Do your own due diligence.

1. Snapshot

What the business does: Hindustan Zinc digs zinc-and-lead ore from its own mines in Rajasthan and smelts it into zinc, lead and, as a by-product of lead, silver. It's the world's largest integrated zinc producer and India's only integrated silver producer. Vedanta controls it; the Government of India still owns a big minority stake. Profits follow world metal prices, and silver now drives nearly half of them.

Number	Value	Plain read
Q1 FY27 revenue	₹13,747 cr	Highest quarter ever, up 77% on a year ago. Helped by higher prices, more metal, by-product sales and a stronger dollar.
Q1 FY27 EBITDA (operating profit before interest, tax, depreciation)	₹8,074 cr	First time above ₹8,000 cr in a quarter, up 109% on a year ago.
EBITDA margin	59%	₹59 of operating profit on every ₹100 of sales. Very few miners anywhere earn this.
Q1 FY27 net profit	₹5,469 cr	Record, up 145% on a year ago.
Zinc cost of production (excluding royalty)	US$851/tonne	Lowest since it moved underground, down 16% on a year ago. Each tonne costs far less to make than it sells for.
Net cash	₹5,572 cr	More cash than debt, even after big dividends. Free cash before growth spending was ₹5,253 cr in the quarter.
Market value / P/E (Screener, at writing)	~₹2,40,000 cr / ~11.7	About ₹12 for each ₹1 of yearly profit. Cheap-looking, as commodity stocks at peak profits usually are.

2. Concall coverage

Quarter	Call date	Read?
FY23 → Q3 FY26 (multiple calls)	2022 → 19 Jan 2026	Carried forward from the Q4-2026 report
Q4 & FY26 (prior boundary)	24 Apr 2026	Prior report used web coverage because the transcript hadn't downloaded. Transcript now available and skimmed for guidance.
Q1 FY27	**24 Jul 2026**	**Newly deep-read in full ★**

Roughly three-plus years of calls in total. The Q2 FY27 call (Oct 2026) is outside this report's window and wasn't read.

2b. Latest concall highlights: Q1 FY27 (24 Jul 2026)

- **Record quarter.** Revenue ₹13,747 cr (+77%), EBITDA ₹8,074 cr (+109%), net profit ₹5,469 cr (+145%). Silver gave about 46% of profit even though its price eased to about US$73/oz from the March-quarter peak.
- **Output steady.** Mined metal 268 kt, the best first quarter for the fifth year running; refined metal 260 kt (+4%). Silver only 149 t, because of planned lead-smelter maintenance; management says 10-15 t is stuck in work-in-progress and the 680 t full-year target is still fine.
- **One-off help.** It sold 10 kt of old low-grade lead concentrate for about ₹315 cr (about 9 t of silver equivalent). Hedging losses were about ₹200 cr.
- **Leadership change.** CEO Arun Misra hands over to Amarendu Prakash, former chairman of SAIL (the state steel maker), from 1 Aug 2026. A new CFO, Amit Gupta, also joined.
- **Growth news.** Won a rare-earth and yttrium block in Karnataka (production not before 2031-32). Board approval for a further ~650 kt smelter expansion targeted for the December quarter, rough cost ₹24,000-25,000 cr, 36 months to build.

2c. Business mix & capacity

- **Domestic vs export:** Not broken out on the calls. Management cites about three-quarters of India's primary zinc market, so most sales stay in India.
- **Capacity:** Refined capacity about 1.1 million tonnes a year, running close to full. FY27 guidance kept: refined metal 1,100 kt, silver 680 t (±10). Q2 to Q4 are usually the stronger quarters.
- **Expansion:** 250 ktpa Debari smelter (mine development started), tailings reprocessing plant (construction started, about 24 months, 30-35 kt zinc), hot-acid leaching plant at Dariba and the phosphoric acid part of the fertiliser plant due in Q2 FY27. On the Q4 call management said silver could cross 800 t a year once the new smelter and recovery circuits run.

2d. Since our last report (builds on Q4-2026, call 24 Apr 2026)

Prior verdicts: **Trigger YES**, **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: silver profits on top of low costs	Real and playing out	Record profit, silver ~46% of profit, zinc cost at a new low	Confirmed
Consistency	Great on costs, short on silver volume, demerger stalled	Costs beat again; silver volume soft in Q1; demerger not mentioned at all	Unchanged
Silver output (680 t FY27)	FY26 missed guidance	149 t in Q1, needs ~177 t a quarter from here. Management confident	Slipping (watch)
Fertiliser plant (due ~Q2 FY27)	Pending	Only the phosphoric acid part comes in Q2; full fertiliser plant now Q1 FY28, awaiting environment clearance	Slipping
Debari smelter / tailings plant	EPC partners locked	Mine development and construction started	On-track
Demerger	"Re-looked at" in FY27	Not raised on the call; Vedanta's own split is done. Govt stake sale questions deflected	Stalled

Verdict change: Both verdicts unchanged. The trigger looks even stronger in the numbers. The consistency record picked up one more slip (fertiliser plant) and a CEO change, which is a new thing to watch.

3. Earning-trigger thesis ★

Silver comes almost free with lead, so when silver prices are high the extra money drops straight to profit. Put that on top of the lowest zinc costs in the company's underground era and you get record margins. Behind it sits a multi-year plan to roughly double metal output through a new smelter, tailings recycling and more mining. The catch is plain: most of the jump is price, and prices move.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Silver profit engine	Structural demand from solar and electronics	~46% of profit in Q1 even with silver off its peak	Now	Strong, but price-driven	unchanged
Cost leadership	Zinc cost US$975-1,000/t guided	US$851/t in Q1, helped by sulphuric acid by-product prices	Now	Strong	↑ new low
2x volume expansion	Debari 250 ktpa, tailings plant, further ~650 kt	Construction started; big approval due Q3 FY27	FY28-FY30	Moderate. Credible, still unbuilt	unchanged
New metals (rare earths)	Become a multi-metal company	Block won; exploration only	2031-32	Unproven	new

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY26	Cut costs, record output	Output records, cost beat guidance repeatedly	Delivered
FY26	Silver 700-710 t, later 680 t	~627 t	Missed
Q1 FY27	Cost within US$975-1,000/t	US$851/t	Delivered (beat)
FY27	Fertiliser plant by ~Q2 FY27	Only phosphoric acid part in Q2; full plant Q1 FY28	Partly / delayed
2023 → now	Demerger into separate businesses	Blocked, then "re-looked at", now silent	Dropped / stalled
Ongoing	Net cash, high dividends	Net cash ₹5,572 cr; ₹11/share paid in Q1	Delivered

Narrative drift: Very little. The story is the same every call: low cost, more silver, double the volume, return cash. Where it slips is on project dates and the silver tonnes. New this quarter: a related-party approval process that SEBI flagged (management says it's fixed with an internal alert) and a CEO from steel, not mining, taking over. Neither changes the story yet, but both are worth watching.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

A record quarter with silver off its peak shows the low-cost base is doing real work, not just the price. The expansion has moved from paper to construction. The honest caveat stays: this is a commodity business near peak prices, and a big fall in silver or zinc would cut profits fast. But the driver is named, live and in the numbers.

Management consistent? → MAYBE vs last quarter: unchanged

They keep beating on what they control best, costs and cash. They keep slipping on what's harder: silver tonnes, the fumer and fertiliser projects, and the demerger. Add a change of CEO mid-expansion and it's still a strong but mixed record.

Prepared from Hindustan Zinc earnings-call transcripts via Screener.in (through Q1 FY27, 24 Jul 2026) and Screener financial tables. Not investment advice.